



Thursday, 30 April 2026

## KBC Sunrise Market Commentary

### Markets

- A sharp increase in oil prices** (Brent close at \$118/b) triggered **more bear steepening** yesterday. German/EMU yields rose between 9.3 bps (2-y) and 1.2 bps (30-y). **National EMU inflation** data only provided mixed evidence (Germany lower than expected HICP at 0.5% M/M and 2.9% Y/Y, Spain higher than expected at 0.7% M/M and 3.5% Y/Y). US yields followed a similar pattern in the run-up to the Fed decision and extended that move after the publication of the policy statement. **The Fed as expected left its policy rate unchanged at 3.50%-3.75%**. However, the decision was only supported by a 8-4 majority. Stephen Miran preferred a 25 bps rate cut. Three other members supported to maintaining the target rate unchanged but **did not support the inclusion of an easing bias in the statement, reinforcing the perception of a 'hawkish hold'**. Fed Chair Powell (who still was in favour of the easing bias) will remain member of the FOMC also after his term as Fed Chair expires as he wants to monitor the criminal investigations into the central bank which Powell said threaten the ability to conduct monetary policy without considering political factors. **US yields closed between 11 bps (2-y) and 7 bps (30-y) higher, with the 30-yr yield reaching the 5% mark**. The dollar extended a gradual, but protracted rise (DXY 98,95, EUR/USD 1.167, USD/JPY 160.4). US equities closed the session mixed/little changed (Dow -0.57%, Nasdaq +0.04%). Earnings of several tech bellwethers mostly showed solid results, but it's unclear whether this will be able to support a positive risk sentiment with the market focus this morning still on a further sharp rise in oil prices.
- It's the ECB and BoE's turn today to clarify their reaction function to the building/expanding Iran-related supply shock**. Early April, both central banks used a temporary drop in the oil price to extinguish market expectations for an immediate reaction as soon as the April meeting. **Evidently, developments in the meantime have changed quite drastically, putting both the ECB and the BoE in a difficult position** as they still have to convince markets of their anti-inflation commitment. Markets now clearly assess that the shock has already moved beyond "limited in size and short-lived" (Lagarde's speech at the ECB and its watchers conference, March 25) which doesn't need a policy response. Markets at least consider it moving to or maybe even beyond the adverse scenario *"that gives rise to a large though not-too-persistent overshoot of our target, (where) some measured adjustment of policy could be warranted"* (same Lagarde address). **Given current developments, a very strong signal is probably needed** as markets might start considering a scenario where a 25 bps step won't suffice in June. A too 'soft' approach also might **put additional pressure at the long end of the curve**. As an illustration, the UK 30-y yield is again only a whisker away from the September multi-year top (5.75%). The German 30-y yield shows a more-or less similar pattern (at 3.58%). Today's eco **data also deserve attention** with the first US and EMU GDP growth estimates for Q1, the EMU flash CPI estimate (April) and the US March PCE deflators. Our in-house KBC Nowcast suggests 2.4% Q/Qa growth in the US (2.3% consensus) but might underestimate the impact of government spending. So we might end up closer to 3%. For the EMU, it's close to consensus at 0.15% Q/Q.

### News & Views

- The Brazilian central bank (BCB) lowered the policy rate by 25 bps to 14.5% in a back-to-back rate cut**. That's keeping the real rate still very high and well above the BCB's neutral estimate (5%) when taking into account inflation in the 4%+ region. While the BCB statement does not rule out further cuts, **the language became more hawkish**. It noted faster growth, firmer underlying inflation and persistent uncertainty around the war and energy prices. The central bank raised the inflation forecast for the relevant policy horizon to 3.5% from 3.3%, moving further away from the BCB's 3% target (+/- 1.5 ppts). **The recent strengthening in the Brazilian real to below USD/BRL 5 for the first time since early 2024 is a welcome development from the central bank's point of view, but clearly not enough to offset broader inflationary pressures**.
- The Pentagon said that the war in Iran had cost the US so far \$25bn**. It's the first public estimate since hostilities began end-February. It mostly entailed the cost of ammunition, including the use of costly Tomahawk missiles as well as Patriot and Thaad interceptors. Outside observers have put a higher price tag at the conflict, with The American Center for Progress previously estimating the cost at \$25bn already at the end of March. **Meanwhile, discussions are ongoing for a supplemental Congressional request of up to \$200bn**.

## Graphs



### GE 10y yield

Confidence grew that inflation returned to 2% **allowing the ECB to reduce its policy rate to 2%, reaching neutral territory.** The ECB considered it to be in a good place to respond to potential shocks.

However, at the March meeting the Bank's assessment was tweaked for it to be well placed to address the rise in inflation due to the Middle East conflict. While this mostly affects the short end of the curve, inflation risks push the long end above 3%.



### US 10y yield

The Fed's **focus shifted to increased attention for (risks to) the labour market** with 25 bps rate cuts in September, October and December. The Fed neared a neutral policy level allowing for a longer pause. However the focus is increasingly **turning back to rising inflation risks** and rate cuts now are on hold 'sine die'. The 10-yr yield rebounded from the YtD lows in the wake of the Iran war.



### EUR/USD

In 2025, Trump's explosive policy mix triggered uncertainty on future US economic growth and sustainability of public finances with markets showing a loss of confidence in the dollar. **Rising oil prices and a weak risk sentiment result in by-default USD gains since the war in the Middle-East started.** With the ceasefire, a test of the EUR/USD 1.1392 technical support was aborted and followed by a sharp move higher.



### EUR/GBP

Sterling in November last year weakened to worst levels against the euro since early 2023. **Calm returned after Chancellor Reeves' November Autumn Budget with EUR/GBP returning to the 0.86 area.** Both the ECB and the BOE might be forced to raise rates to address the oil price shock. For now, sterling slightly outperformed the euro, but we are not convinced of a sustained break below EUR/GBP 0.86 if fundamentals return to the market focus (e.g. budgetary concerns).

# Calendar & Table

| Thursday, 30 April    |                                                                | Consensus          | Previous           |
|-----------------------|----------------------------------------------------------------|--------------------|--------------------|
| <b>US</b>             |                                                                |                    |                    |
| 14:30                 | Personal Income/Spending (Mar)                                 | 0.30%/0.90%        | -0.10%/0.50%       |
| 14:30                 | <b>PCE Price Index MoM/YoY (Mar)</b>                           | <b>0.70%/3.50%</b> | <b>0.40%/2.80%</b> |
| 14:30                 | Core PCE Price Index MoM/YoY (Mar)                             | 0.30%/3.20%        | 0.40%/3.00%        |
| 14:30                 | <b>Initial Jobless Claims</b>                                  | <b>212k</b>        | <b>214k</b>        |
| 14:30                 | Continuing Claims                                              | 1915k              | 1821k              |
| 14:30                 | Employment Cost Index (1Q)                                     | 0.80%              | 0.70%              |
| 14:30                 | <b>GDP Annualized QoQ (1Q A)</b>                               | <b>2.30%</b>       | <b>0.50%</b>       |
| 14:30                 | Personal Consumption (1Q A)                                    | 1.40%              | 1.90%              |
| 14:30                 | GDP Price Index (1Q A)                                         | 3.90%              | 3.70%              |
| 14:30                 | Core PCE Price Index QoQ (1Q A)                                | 4.10%              | 2.70%              |
| 15:45                 | MNI Chicago PMI (Apr)                                          | 54.9               | 52.8               |
| <b>Japan</b>          |                                                                |                    |                    |
| 01:50                 | Retail Sales MoM/YoY (Mar)                                     | 1.30%A/1.70%A      | -2.00%/-0.10%R     |
| 01:50                 | Industrial Production MoM/YoY (Mar P)                          | -0.50%A/2.30%A     | -2.00%/0.40%       |
| 07:00                 | Housing Starts YoY (Mar)                                       | -29.30%A           | -4.90%             |
| 07:00                 | Consumer Confidence Index (Apr)                                | 32.2A              | 33.3               |
| <b>UK</b>             |                                                                |                    |                    |
| 01:01                 | Lloyds Business Barometer (Apr)                                | 44A                | 55                 |
| 01:01                 | Lloyds Own Price Expectations (Apr)                            | 53A                | 55                 |
| 13:00                 | <b>Bank of England Bank Rate</b>                               | <b>3.75%</b>       | <b>3.75%</b>       |
| <b>EMU</b>            |                                                                |                    |                    |
| 11:00                 | <b>GDP SA QoQ/SA YoY (1Q A)</b>                                | <b>0.20%/0.90%</b> | <b>0.20%/1.20%</b> |
| 11:00                 | <b>CPI MoM/YoY (Apr P)</b>                                     | <b>0.90%/3.00%</b> | <b>1.30%/2.60%</b> |
| 11:00                 | CPI Core YoY (Apr P)                                           | 2.20%              | 2.30%              |
| 11:00                 | Unemployment Rate (Mar)                                        | 6.20%              | 6.20%              |
| 14:15                 | <b>ECB Deposit Facility Rate</b>                               | <b>2.00%</b>       | <b>2.00%</b>       |
| 14:15                 | ECB Main Refinancing Rate                                      | 2.15%              | 2.15%              |
| 14:15                 | ECB Marginal Lending Facility                                  | 2.40%              | 2.40%              |
| <b>Germany</b>        |                                                                |                    |                    |
| 09:55                 | Unemployment Change (000's) (Apr)                              | 4.3k               | 0.0k               |
| 09:55                 | Unemployment Claims Rate SA (Apr)                              | 6.30%              | 6.30%              |
| 10:00                 | <b>GDP SA QoQ/WDA YoY (1Q P)</b>                               | <b>0.10%/0.20%</b> | <b>0.30%/0.40%</b> |
| <b>France</b>         |                                                                |                    |                    |
| 07:30                 | <b>GDP QoQ/YoY (1Q P)</b>                                      | <b>0.20%/1.30%</b> | <b>0.20%/1.20%</b> |
| 08:45                 | <b>CPI EU Harmonized MoM (Apr P)</b>                           | <b>1.00%/2.30%</b> | <b>1.10%/2.00%</b> |
| 08:45                 | CPI MoM/YoY (Apr P)                                            | 0.90%/2.00%        | 1.00%/1.70%        |
| 08:45                 | PPI MoM/YoY (Mar)                                              | --/--              | -0.20%/-2.40%      |
| <b>Italy</b>          |                                                                |                    |                    |
| 10:00                 | <b>GDP WDA QoQ/WDA YoY (1Q P)</b>                              | <b>0.10%/0.60%</b> | <b>0.30%/0.80%</b> |
| 10:30                 | Unemployment Rate (Mar)                                        | 5.30%              | 5.30%              |
| 11:00                 | <b>CPI EU Harmonized MoM/YoY (Apr P)</b>                       | <b>1.50%/2.50%</b> | <b>1.70%/1.60%</b> |
| <b>Belgium</b>        |                                                                |                    |                    |
| 11:00                 | Unemployment Rate (Mar)                                        | --                 | 6.40%              |
| <b>China</b>          |                                                                |                    |                    |
| 03:30                 | Manufacturing PMI (Apr)                                        | 50.3A              | 50.4               |
| 03:30                 | Non-manufacturing PMI (Apr)                                    | 49.4A              | 50.1               |
| 03:30                 | Composite PMI (Apr)                                            | 50.1A              | 50.5               |
| 03:45                 | RatingDog China PMI Mfg (Apr)                                  | 52.2A              | 50.8               |
| <b>Czech Republic</b> |                                                                |                    |                    |
| 09:00                 | <b>GDP QoQ/YoY (1Q A)</b>                                      | <b>0.50%/2.50%</b> | <b>0.70%/2.70%</b> |
| <b>Hungary</b>        |                                                                |                    |                    |
| 08:30                 | <b>GDP SA QoQ/NSA YoY (1Q P)</b>                               | <b>0.60%/1.30%</b> | <b>0.20%/0.80%</b> |
| <b>Poland</b>         |                                                                |                    |                    |
| 09:30                 | <b>CPI MoM/YoY (Apr P)</b>                                     | <b>0.30%/2.90%</b> | <b>1.10%/3.00%</b> |
| <b>Spain</b>          |                                                                |                    |                    |
| 09:00                 | <b>GDP QoQ/YoY (1Q P)</b>                                      | <b>0.50%/2.70%</b> | <b>0.80%/2.70%</b> |
| <b>Events</b>         |                                                                |                    |                    |
| Q1 earnings           | Mastercard (bef-mkt), Caterpillar (12:30), Apple (aft-mkt) ... |                    |                    |
| 11:00                 | <b>Eurozone Inflation Ticker Update</b>                        |                    |                    |
| 14:45                 | <b>ECB President Christine Lagarde Holds Press Conference</b>  |                    |                    |

|            |              |            |            |            |              |            |             |              |            |
|------------|--------------|------------|------------|------------|--------------|------------|-------------|--------------|------------|
| 10-year    | <u>Close</u> | <u>-1d</u> |            | 2-year     | <u>Close</u> | <u>-1d</u> | Stocks      | <u>Close</u> | <u>-1d</u> |
| US         | 4,43         | 0,08       |            | US         | 3,95         | 0,11       | DOW         | 48861,81     | -280,12    |
| DE         | 3,11         | 0,04       |            | DE         | 2,74         | 0,09       | NASDAQ      | 24673,24     | 9,44       |
| BE         | 3,70         | 0,05       |            | BE         | 2,84         | 0,10       | NIKKEI      | 59227,21     | -690,25    |
| UK         | 5,07         | 0,06       |            | UK         | 4,56         | 0,11       | DAX         | 23954,56     | -63,70     |
| JP         | 2,52         | 0,04       |            | JP         | 1,38         | 0,00       | DJ euro-50  | 5816,48      | -19,62     |
|            |              |            |            |            |              |            |             |              |            |
|            |              |            |            |            |              |            |             |              |            |
| IRS        | <u>EUR</u>   | <u>USD</u> | <u>GBP</u> | EUR        | <u>-1d</u>   | <u>-2d</u> | USD         | <u>-1d</u>   | <u>-2d</u> |
| 3y         | 2,93         | 3,74       | 4,38       | €STR       | 1,9320       | 0,0000     |             |              |            |
| 5y         | 2,97         | 3,77       | 4,37       | Euribor-1  | 1,9680       | -0,0420    | SOFR-1      | 3,6478       | 0,0008     |
| 10y        | 3,14         | 3,98       | 4,59       | Euribor-3  | 2,1490       | -0,0010    | SOFR-3      | 3,6662       | 0,0030     |
|            |              |            |            | Euribor-6  | 2,4620       | 0,0190     | SOFR-6      | 3,6870       | 0,0136     |
|            |              |            |            |            |              |            |             |              |            |
|            |              |            |            |            |              |            |             |              |            |
| Currencies | <u>Close</u> | <u>-1d</u> |            | Currencies | <u>Close</u> | <u>-1d</u> | Commodities | <u>Close</u> | <u>-1d</u> |
| EUR/USD    | 1,1677       | -0,0035    |            | EUR/JPY    | 187,21       | 0,31       | CRB         | 394,49       | 8,87       |
| USD/JPY    | 160,41       | 0,79       |            | EUR/GBP    | 0,8665       | 0,0000     | Gold        | 4561,50      | -46,90     |
| GBP/USD    | 1,3475       | -0,0042    |            | EUR/CHF    | 0,9243       | -0,0001    | Brent       | 118,03       | 6,77       |
| AUD/USD    | 0,7116       | -0,0065    |            | EUR/SEK    | 10,8855      | 0,0278     |             |              |            |
| USD/CAD    | 1,3685       | 0,0001     |            | EUR/NOK    | 10,9012      | -0,0174    |             |              |            |

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